

that pay no interest until they mature. For waiting, investors are promised a bit more yield.

These bonds are tops on my list for bad purchases. For one thing, every year the government charges you tax on the interest even though you are not collecting any. This fact has prompted many people to buy zeros for their IRAs and pension plans, which makes the nonexistent income temporarily tax-exempt. However, all that this “advantage” has done is to decrease further the level of caution among buyers. Assuredly, if there were ever an attractive way for a marginal (or doomed) enterprise to borrow money, it would be zeros. Imagine not having to pay out a cent of interest for ten years! You could issue tons of the stuff. The lender takes all the risk.

Purchases of zero coupon bonds are an aggressive bet on falling long term interest rates and a steadily expanding economy with little inflation, just what we are all assured will continue. The huge risk of loss if the bet is wrong is not even being considered. Who knows if the issuer will be in business when the bonds are due to be paid off? Who can guarantee that inflation will not return to devastate these bonds’ value? At least when you collect interest, you are getting *some* money back, money that has retained some of its purchasing power, thus reducing the ultimate loss if there is to be one. Given the Elliott Wave scenario from here on out, zeros are one of the worst imaginable investments.

High Yield, or “Junk,” Bonds

See Chapter 15.

Federal Government Bonds

What about Federal government bonds, which except for a brief drop in 1931, held their value during the Great Depression? Could bonds backed by the full faith and credit of the U.S. government really be considered risky someday? *The Elliott Wave Theorist* has prepared readers for its current opinion for years. In discussing the ultimate resolution of the Grand Supercycle bear market fourteen years ago, in May 1981, EWT painted this picture:

Government will not be collecting sufficient taxes from a country deep in depression, and the social programs that have created a sea of red ink on government ledgers during *prosperous* times will cause total bankruptcy during an economic depression. Government won’t even be meeting the *interest payments* on its colossal debt.